

Two Records and the Negatives

Tuesday repeated Monday's shape in miniature, which turns one ambiguous session into a pattern worth reading before the open.

THE READING

The Nasdaq Composite closed at 27,244 on Tuesday, a second consecutive record, up about half a percent. The S&P 500 finished unchanged. The Dow fell 185 points to 51,864. The VIX closed at 14.87, higher again, on the second straight session in which the headline index set a high.

Monday supplied the same arrangement at larger scale. The Nasdaq rose 2.26 per cent while the equal-weight S&P added 0.18 per cent against SPY's 1.55 per cent, four of eleven sectors fell, and the VIX rose 0.27 per cent on a 1.49 per cent S&P day. Behind both sessions, high yield sat at 78.68, some 0.41 per cent above its fifty-two-week low, and WTI settled at \$92.37, 3.3 per cent beneath a range Hedgeye marks bullish.

WHAT WISDOM WOULD SAY

Francis Bacon, in the *Novum Organum* of 1620, observed that the understanding is moved more by affirmatives than by negatives, and that in establishing any axiom the negative instance carries the greater force.

The affirmative here is the record close. It is easy to hold, easy to repeat, and it arrives with a number attached. The negatives are the Dow lower, the equal-weight index flat, credit within half a percent of its low, and volatility bid on both up days. Each is harder to hold: a small figure, and none of them news.

Bacon's point is not that the negatives are truer. It is that the mind does not weigh them evenly, so the correction has to be deliberate — count the instances that would have to be explained away if the affirmative reading were right. Here there are four, and they have now appeared two sessions running. One session's divergence is noise, about which nothing follows. The same divergence twice is a fact about who is buying.

THE RISK IT JUSTIFIES

This argues against adding index exposure on the second record, for the specific reason that the case for adding is one affirmative and the case for waiting is four negatives that have repeated. It argues equally against reading the Dow's 185 points as a rotation to be bought into; the broad tape has been declining to participate since Monday, not since yesterday.

It does not justify a short. A market can make records on narrowing participation for a long time, and with the VIX at 14.87 near the floor of its band, protection is cheap rather than dear — owning it is a different decision from selling the index, and the cheaper one.

Write down now what would retire the negatives: equal-weight keeping pace with cap-weight for two sessions, high yield moving decisively off 78.36, the VIX falling on an up day. If those arrive, the negatives are answered and the affirmative stands on its own.

Which of this morning's figures would you have to explain away, and how many are there?